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DPO-802-E
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Luis Arrese (B): On the Cusp of Success

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It was May 25, 2018. That afternoon, Marc, CEO of MPI Europe, had confirmed to Luis that July 1 was the date for the public announcement of Marc's retirement and Luis' promotion to the post of CEO and managing director of the European unit, effective on September 16.

On his way home that night–quite late, as usual–Luis was wondering what to buy his wife to celebrate the good news. He had devoted almost his entire career to MPI, and now at last he was to receive the reward he had worked for so hard, sparing no effort or sacrifice. Certainly, there had been some major sacrifices on a personal level and, above all, on a family level. Now, at last, he would be able to consider how to devote more time to his wife and two children. He knew that without Ana's support he would never have achieved this goal that gave him such satisfaction, and he felt she deserved some special gift.

These thoughts gave way to memories of the years he had spent at MPI, especially the last three, ever since Marc had spoken to him of a development and promotion plan that could take him to the post of CEO Europe.

An Unexpected Proposal

One morning in June 2015, eight months after he had come back to Valencia from England to take up the new post of development director, Luis received a call from Marc, asking him to come to Marc's office. There, Marc said to him:

> Yesterday, when I accompanied our president to the airport for the flight back to the United States after his visit, we talked about you and me. I told him I want to retire in three years' time and that I think the person in the organization best qualified to take my place is you.

This case was prepared by Francisco Gay, former collaborator, and Dr. Alberto Ribera, under the supervision of Professor José Ramón Pin Arboledas. February 2023.
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> However, I think you need more experience; and you need to develop more as a people manager. There are still some rough edges. The president shares my opinion, so we've agreed to make you a proposal. He has delegated me to negotiate every aspect of it.
>
> The proposal is that you spend the next year and a half as a business unit manager, heading Division K in the United States. That will give you a chance to get to know the parent company. You'll be able to complete your technical and business training, and they'll be able to measure you up at first hand. And if all goes well, within eighteen months you'll come back here as assistant managing director. After a twelve-month handover period, you would then take over the role of CEO of MPI in Europe. How does that sound?

Looking back, Luis remembered it being a difficult, but quick decision. He and his wife analyzed the situation in one afternoon. The outlook for Luis' career was extraordinarily attractive; the outlook for the family, less so.

After their experience in England, they knew international careers were risky. What started out as a fairly rock-solid opportunity could bring all kinds of upheavals, changes, crises, etc. But the chance to gain experience of American management in the same industry and company, and with a definite career plan that would make him CEO and managing director for Europe in such a short time, was beyond Luis' wildest dreams. On a career level, therefore, the choice very likely was already made.

Family-wise, though, the situation was very different. The elder of the two children had already changed school three times, and country and language twice before the age of six. It had not been easy, either. Although at nine months his son already spoke "proper" English, Luis and his wife still remembered the time, after four or five months in England, when they had gone to pick him up from a birthday party. They had found him huddled in a corner of the room, on the verge of tears and clasping his hands to his ears. He could not understand what anyone was saying and could not communicate or play with the other children. On their return to Valencia, the boy had had problems adapting to the Spanish school and it had taken him several months to catch up with his classmates.

Now that their son had adapted, Luis and his wife did not think it fair to uproot him again. Also, if the plan went as expected, Luis would be in the United States for the equivalent of only one and a half school years, so it hardly seemed reasonable to subject their son to a whole new environment for such a short period. Then there was his wife's business, which they felt they could not just give up.

The conclusion was that the most workable option, if Luis wanted to accept the career plan, was for him to go to the United States on his own, leaving his wife and two children in Valencia. He would be able to visit them every four or six weeks to spend a few days with them in Valencia. And so on for around eighteen months.

The other option was to turn the offer down.

Luis and Ana decided that afternoon to accept the challenge.

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The Stay in the United States

On September 21, 2015, the day after his daughter's first birthday, Luis arrived in the United States.

It was an extraordinary career experience. The change in culture, management style, speed of decision-making, pressure for results, etc., was tremendous. After six months there were changes in the organization and Luis was promoted from business unit manager to vice-president and general manager of one of the three North American divisions. That appointment meant he joined MPI's global management team.

Also, Luis attended a two-month intensive general management program at a prestigious Boston business school. That was another dream come true.

During the 18 months he spent in the United States, Luis lived in a Marriott apartment hotel outside the city in the middle of nowhere. From Monday to Friday, unless he was traveling, his working day followed the same routine:

- He got up at 5:30 in the morning.
- He had breakfast in the hotel at 5:50 (he had managed to persuade the cook to get his breakfast ready before the official time).
- By 6:10 he was in his office (officially, he started at 8:30).
- As soon as he got there, he called his wife and they talked for around twenty minutes. Spain was six hours ahead of the United States.
- Then he worked until 12:00.
- He went running for fifty minutes with two or three workmates.
- He ate a ten-minute lunch in the head office canteen and by 1:15 p.m. was back in his office, where he worked until 5:30 (officially, the working day ended at 5 p.m.).
- At 4 p.m. he called his wife again and talked to her and the children for another twenty minutes.
- He got back to the hotel at 5:50 (the restaurant closed at 6 p.m.) and would take a very light evening meal.
- After watching television for thirty minutes or so, he would change into his sports clothes and work out for two hours in the hotel gym.
- Then he would have a shower and be in bed by 10 p.m.

On Saturdays and Sundays, he worked from 8 to 12 in the morning. He spent around thirty minutes each day talking to his wife. Then he exercised from 12:30 to 5 in the afternoon (an hour in the swimming pool and three hours cycling outdoors). After that, he called his wife and children again. At 6 p.m. he went to have dinner in one of the two restaurants, where, after the first few months, he began to feel almost at home.

This routine was broken only on the weekends when he competed in the triathlon.

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As Luis himself admitted: "I can't kid myself, it's a miserable life, really miserable." And yet, Luis had great personal stability and exceptional enthusiasm.

Although the whole family was making a great effort, after Christmas 2016 Luis and Ana came to the conclusion that it was time to end the situation. There were enough family signs to know it had to stop as soon as possible.

From the U.S. to Italy

After sixteen months' work in the United States, three substantial salary increases and various stock option allocations, in January 2017 Luis went to see the human resources director in the United States. He was brief and to the point: "Please send me home."

They proposed that he stay on until March, and so, on March 10, 2017, Luis rejoined the European unit as assistant managing director. In practice, the European unit had responsibility for Europe, Latin America, Africa, the Middle East and much of the Far East. Luis' new task would be to oversee the subsidiaries in Italy, Sweden, Brazil, Chile and Angola.

Italy was a clear priority for Luis and the European unit. The Italian unit had been making heavy losses for several years. Luis had to assess the unit's viability and decide whether to close it down or implement a restructuring plan to put it back on its feet.

This involved spending three or four days a week in Italy, adapting to a new culture and language, and dealing with a severe crisis with many human and emotional implications.

It was extremely tough: the workforce was cut by almost 40% in six months. By June 2017, all the unit's management ratios had improved dramatically, and the unit started to make a profit from January 2018.

There were plenty of remarks–often joking and in Luis' presence–about the pressure of working with Luis and the tight deadlines, and about how, however early you came to the office, you would always find Luis there already–and he would still be there when you left.

Achieving what had initially seemed impossible results helped to bond the team in Italy. At the end of the process, there was an atmosphere of healthy camaraderie, team achievement and recognition of Luis's management.

Although the situation in the other subsidiaries was not as serious as in the Italian unit, they all had to undergo major reorganization under Luis' supervision to make them sustainably profitable. By the time these reorganizations were complete, each subsidiary had acquired a culture of team work, direct and open communication, and moderate optimism with respect to the unit's future.

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Re-encounter With the Organization in Spain

Towards March 2018, very satisfied with the results obtained in the subsidiaries and with Luis' obvious progress in people management, Marc, the CEO for Europe, asked Luis to start to prepare for the handover. His plan was to announce Luis'promotion in the first week of July, effective on September, 2018.

The transition was Luis and Marc's primary concern. Luis' job in the subsidiaries had been simpler in many ways. With few exceptions, nobody in the subsidiaries had known Luis beforehand (so they had no prejudices about the "Gunny" he had been in the past); and they were in a serious crisis and were eager for someone to put their business back in profit and give it a future.

The situation in the Spanish subsidiary was the complete different. It had performed well above the industry average over the last ten years and did not seem to need any major reorganization. And, of course, Luis's reputation lived on.

For that reason, Marc and Luis were very aware that they would have to tread carefully to ensure the handover was gradual and was accepted by the organization.

In the middle of May, the CEO met with Luis and said to him: "I couldn't feel more satisfied. Having worked in this company for more than forty years, I feel completely happy to be leaving it in your hands. There's no one who could do the job better."

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Exhibit 1
Luis Arrese's Career in MPI

Assistant managing director of the European unit, June 2017 to the present, Valencia, Spain:

- Reporting to the managing director Europe, overseeing all the subsidiaries that depend directly on European headquarters:
  - Italy, CEO and managing director. More than 200 employees, a factory and sales of 60 million euros.
  - Sweden, chairman of the board of directors. A distribution center and trading company, eight employees and sales of 10 million euros.
  - Brazil, chairman of the board of directors. Forty employees, a factory and sales of 6 million euros.
  - Chile, chairman of the board of directors. A distribution center and trading company, four employees and sales of 2 million euros.
  - Angola, chairman of the board of directors. Thirty employees, a factory and sales of 2 million euros.
- At the same time, he was a member of the executive committee for Europe (five factories, 1,500 employees and sales of 320 million euros). Besides general management tasks, he was responsible for:
  - Creation and implementation of the company's strategic plan.
  - Internal reorganization and restructuring.
  - Search and negotiation of M&A opportunities.
  - Preparation and fulfillment of the European unit's budget.

Vice president and general manager (industrial and specialty), September 2015 to March 2017, United States.

- While living in the United States, he managed a division with 1,500 employees, seven factories (six in the United States and one in Mexico) and sales of 300 million dollars. All sales were made in North America (United States, Canada and Mexico).
- Furthermore, reporting to the corporate CEO, he was a member of the executive committee in the United States (more than thirty factories in nine countries, more than 7,500 employees and sales of 1.5 billion euros).

Previously, he was *Business unit manager*, United States; *Development director*, Valencia, Spain; *Managing director of a business unit in England*, Manchester; Marketing director for Europe and marketing and sales director for Spain, Valencia; *Export area manager,* Valencia; *Export manager,* Valencia.